Online Food Delivery Analysis: Data-Driven Business Insights

Customer & Order Analysis

15.Cancellation reason analysis

Cancellations are attributed equally to late delivery, customer cancellation and restaurant issues. The mix doesn't vary by day type, city, cuisine, payment mode, peak hour or month. Orders cancelled for late delivery weren't actually slower than the others.

Illustrative sample records:

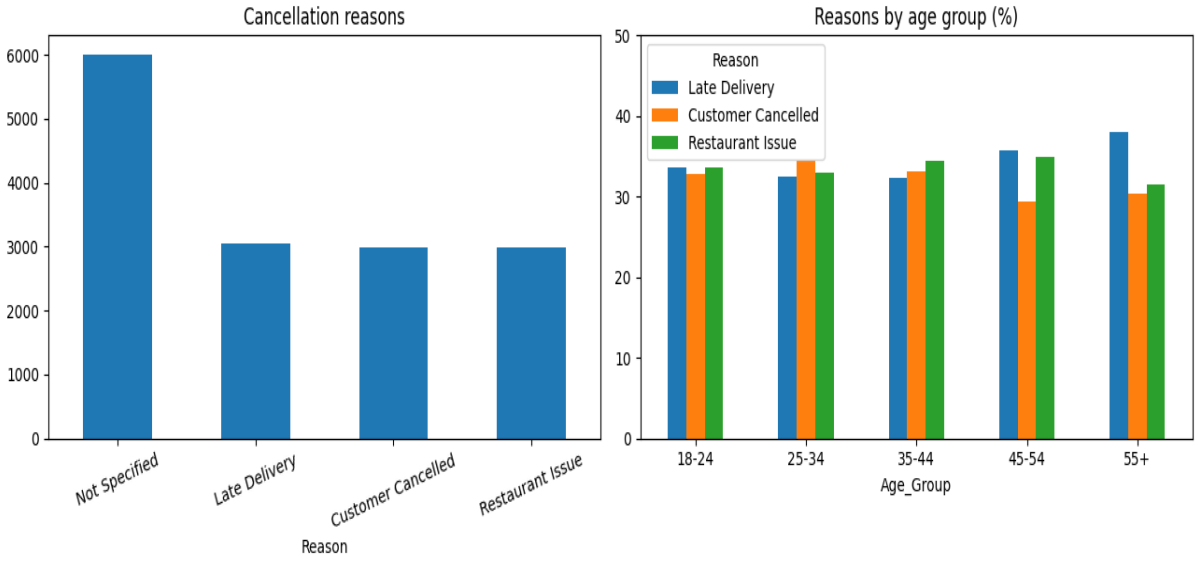
Reason	count
Not Specified	6005
Late Delivery	3059
Customer Cancelled	2993
Restaurant Issue	2979

Reason	Late Delivery	Customer Cancelled	Restaurant Issue
Age Group			
18-24	33.6	32.9	33.6
25-34	32.5	34.5	33.0
35-44	32.4	33.2	34.4
45-54	35.7	29.4	34.9
55+	38.1	30.3	31.6

2 . VISUALIZATIONS

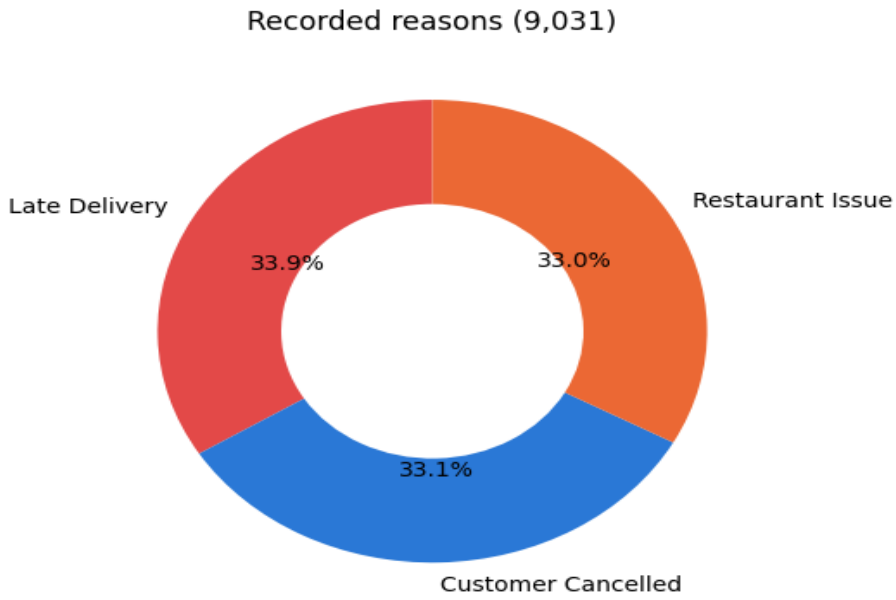
Visualization – 1

The chart shows late delivery as 38.1% of cancellations among customers 55+ and 35.7% for 45 to 54, against about 32.5% for ages 25 to 44.



Visualization – 2

Below chart shows cancellation reason.



3.ANALYTICAL INSIGHTS – DEMAND AND REVENUE

INSIGHT – 1: Cancelled orders are not small orders.

The average cancelled order is ₹1,696 against ₹1,702 for a delivered one. Cancellations aren't low-value orders that are cheap to lose, so the loss is real.

INSIGHT – 2: Cancellations are spread across customers.

81% of customers have had at least one cancelled order and 22% have had three or more. Customers with a cancellation also place more orders, simply because more orders mean more chances of one being cancelled**.**

INSIGHT – 3: The loss is steady all year.

Each named reason costs ₹0.36M to ₹0.49M a month and unrecorded cancellations ₹0.74M to ₹0.93M. There's no season or month where a particular reason spikes.

4.ANALYTICAL INSIGHTS-OPERATIONS AND CUSTOMER EXPERIENCE:

INSIGHT – 4: Analyse the most common cancellation reasons

Prioritize the most frequent cancellation reasons and develop targeted corrective actions. Categorize cancellations into reasons such as long delivery time, payment failure, restaurant rejection, item unavailability, incorrect orders, and customer changes .

INSIGHT-5 : Calculate cancellation reason by restaurant

Work with underperforming restaurants to improve order acceptance, menu availability, and preparation processes. Increase in cancellation reason by restaurant may affect customer trust.

INSIGHT-6: Analyse repeat cancellations and customer retention

Address recurring problems through better communication, accurate delivery estimates, and appropriate customer support.